

ESCONET TECHNOLOGIES LIMITED

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Friday, 20th June 2025

To,
The Manager
Listing Compliance Department
National Stock Exchange of India Limited
Exchange Plaza, 5th floor Plot No. C/1,
G Block, Bandra-Kurla Complex
Bandra (East), Mumbai - 400051

Sub: Intimation of Transcript of Conference Call with Investors and Analysts Regarding Financial Results for the Year Ended 31st March 2025

**REF: NSE SYMBOL: ESCONET
ISIN: INE0RQZ01017**

Dear Sir/ Ma'am,

In continuation of our communication dated 16th June 2025 wherein we apprised you of the scheduled investor and analyst meeting, we wish to formally inform you that Esconet Technologies Limited, along with its senior management team, conducted a conference call with investors and analysts on 19th June 2025.

This conference call was convened to discuss the financial performance and results of the Company for the fiscal year ended 31 March 2025, as well as to address queries from stakeholders. The session was attended by key members of our management team and relevant representatives from the investor relations department.

In accordance with Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations"), read with Part A of Schedule III thereof, we are attaching herewith the transcript of the aforementioned investor and analyst conference call for your records and perusal.

We kindly request the Exchange to take note of the above.

**For and Behalf of
Esconet Technologies Limited**

Rajnish
Pandey

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by Rajnish
Pandey
Date: 2025.06.20
18:52:29 +05'30'



**Rajnish Pandey
Company Secretary & Compliance Officer
Membership No.: ACS – 67445**





ESCONET TECHNOLOGIES LIMITED

INVESTOR AND ANALYST CONFERENCE CALL ON H2-FY25 AND FY-25 FINANCIAL RESULTS

19TH JUNE 2025

Management:

Mr. Santosh Kumar Agrawal, Managing Director
Mr. Sunil Kumar Agrawal, Whole Time Director
Mr. Gaurav Gupta, Director, Fluidech IT Services Private Limited
Mr. Keshav Pareek, Chief Financial Officer
Mr. Rajnish Pandey, Company Secretary & Compliance Officer

Moderator:

Mr. Jigar Jani, Nuvama Professional Clients Group

Moderator: Welcome to the H2-FY25 and FY-25 earnings conference call of Esconet Technologies Ltd. We are happy to be hosting this call at Nuvama Professional Clients Group. Today, from the management team from Esconet Technologies, we have Mr. Santosh Agarwal, Mr. Sunil Agarwal, Mr. Rajnish Pandey, Mr. Gaurav Gupta and Mr. Keshav Pareek joining us from the management team who would be happy to take you through the earnings performance and post that we'll open the floor for Q&A.

Over to you sir, without much ado, I just would thank you for taking this time out and request you to please take us through the entire earnings performance. Thank you.

Santosh Kumar Agrawal: Thank you, Jigar Jani Ji.

So, this is the safe harbour statement on the Presentation. You must have gone through the financials which are already being published through NSE and most of you must be aware of what we have, what are the last year's financials, what the last year's financials are. The previous year has been a very robust in terms of growth not only in terms of revenue but also in the bottom lines as well.

Last year was the actually the first year after we went public, and our performance has improved significantly. We also started the expansion and the additional requirements for capacity enhancements in our system by not only investing in the infrastructure but also in human resources. A key milestone last year was acquisition of 70% stake in Fluidech IT Services Private Limited.

Fluidech IT services Private Limited is a cybersecurity company which was, which had been doing great in this field since last few years. They had, they were into existence since last almost 10 plus years till now and this is the due diligence and whatever we understood about their business models, we decided to invest it in the company. Last year was also, we achieved one bigger milestone immediately after the IPO.

We raised another round of funding via preferential allotment of 32.69 crores. So, which not only helps us in strengthening our financial position in Esconet but also helped us to improvise the service offerings of our subsidiary companies, Scale Services, where we have invested heavily, and we continue to invest there to grow that business as it has been a high margin business for us. So, in the current year, we shall be focusing on cybersecurity which is actually a diversification because we were not much into cybersecurity till now and client expansion through both the offerings, infrastructure offerings from Esconet as well as the cloud and services offerings through ZeaCloud Services Private Limited.

So, these are the figures, total revenue in last year was 140 crores which last year we clocked around 233 crores which is a 65 percent, almost a 65 percent jump. The operating revenue increased by almost 63 percent, profit before tax jumped up by 42 percent and the PAT jumped up by 47 percent.

Here, it would be worth noting that a significant contribution almost a 1.1 crores profit was generated by ZeaCloud which was quite high as compared to previous year of ZeaCloud margins. The EPS also jumped up by 4.63 percent only although the reason could be that the equity also expanded in the last year and hence the earnings per share actually dropped in terms of percentage.

Our key financial drivers of revenue growth were robust, sectoral expansion, we onboarded new customers accounts. We did some strategic client acquisition despite the margins in the deal were very low but those were strategic acquisition. Large enterprise accounts and we wanted to enter those accounts. We had been trying since last many years, but we were not able to break through. Last year was a success for us and this year we are expecting some repeat orders from those same accounts again. Last year was quite, there were lots of ups and downs because of external factors.

Initially the first half of the of last year was about the elections which prevented us from getting a lot of government deals which eventually happened in H2. There were a lot of turmoil in terms of foreign exchange forex rates fluctuations which at times ate up our margins and we did, as I told you that we have invested a lot in terms of manpower as well as infrastructure, warehousing facilities etc.

This Present slide describes about our subsidiary ZeaCloud services where revenue from operations grew by almost 68 percent which was substantial for us and total expense was approximately 3.75 crores. The profit before tax jumped by almost 786 percent. There was growth by almost 745 percent in profit after tax. So, this business will give us margin expansion and that is the reason we are investing in this business. All these figures show our conviction that this business has a lot of growth potential and not only growth potential but also it gives us healthy margins.

So, what exactly did we do last year and this year? What we plan to do? Last year was a significant year again for us. We got our partnership levels with NVIDIA was elevated from standard partner to a preferred partner which enables us to get access to latest technology from NVIDIA not only in terms of hardware, engineering samples but also the software codes, the pre-launched software codes with which we can try hands-on and gain expertise before it reaches to the customer, and we have to work on them. We signed up with two companies and next few slides I will tell you more about them are Scality and Cato.

These are foreign companies. One is Scality is in storage domain, data storage domain and Cato Networks is more of a network and cyber security domain company. So, we have signed partnership with these companies.

I will tell you more about it in the next upcoming slides. We onboarded at least well it was actually 10 plus new client which are from public sector also as well as the enterprise space. Our headcount increased as compared to previous year by 21 percent and we are still in a hiring mode.

So, this year also we have planned to add significant number of people for our expanded plans. We hired a few resources in South India and started our South India operations with not much of success till now but within this year we hope to get significant inroads in South Indian market especially Bangalore, Chennai, Hyderabad etc. We formed a subsidiary company in Singapore typically for the purpose of there are certain customers who want who are either exempted from custom duties. So, the Singapore entity helps us in billing them directly from overseas and there are certain customers who want that material without reaching to India without attracting Indian customs should be directly redirected to them in their foreign entities. So, this subsidiary will help us in getting to the needs of those strategy customers. As I told you we did raise approximately around 33 crores last year through preferential allotments.

So, in the previous slide I mentioned Scality software. Scality is a French company which does cloud available file and object storage.

Basically, it's a scale-out storage where the capacity of the storage can be expanded almost unlimited without any disruption or downtime to the existing data. So, this is a strategic partnership where it plays additional role for us. We are in the process of getting our Hexadata servers certified for this software platform and in turn we will be launching a few products which will

be quite unique in their own domain like a backup software appliance, backup hardware appliance which will not only backup data but store data in a secure space which could be said as like a ransomware proof storage.

No ransomware attack can actually modify the data which is stored in that particular appliance. So, it's an immutable object storage also. In designing this appliance, Scalify is one partner there are other two more partners with us who are actually working, and we are excited that our team is working jointly with those three companies so that we are able to design it, test it out successfully and launch it in the market.

I'm sure there are not many other vendors globally who offer this kind of product as of now. So, it helps us in meeting the growing demand of the customers current demands and it helps us also in boosting our Hexadata sales and since because of this uniqueness we should be able to it will also help us in our margin expansions. Next slide please.

As I mentioned about Kato Networks, it's really coming. It's born in the cloud startup. It started almost like five-six years back and they have been acquiring customer left-right Centre in the enterprise space in the US and European market and Esconet has signed up a partnership with them for the India market.

It's almost a hardware-less solution for networking. Most of the other solutions are typically hardware-orientated or you need to buy one, two, three, four, five boxes to not only to network your servers and computers but also secure them. So, this is a unified product for networking and security multi-locate specifically for multi-locational customers who have global presence.

This product gives us the opportunity to deliver managed services from Esconet. So, that's the value addition what Esconet will do with this product. We have already closed our first orders with our customers on this technology and we hope to do some significant numbers in this current year.

So, as I mentioned in my previous slides that we have invested in capacity expansion for the manufacturing facility for Hexadata. We have also commissioned a micro data centre within the manufacturing facility as a test bed for our systems what we not only we design but we manufacture also.

A great news which was published with NSE as well as with it was on social media also a few days back that we have been Empanelment with government e-marketplace which is the gateway to sell to the government today as an OEM vendor. So, now Hexadata products can be bought by government, public sector customers through this platform. This year we would be focussing on HPC super clusters and we last year we closed multiple deals there in this domain.

So, this helps us because in each deal it may not be just one two or three servers it will be a significantly higher number of servers, and a single deal can go as up high up as five up to 500 servers also.

Last year We launched new Machines based on new NVIDIA chips H200, B200 and the GH200 GPUs which are being well accepted by customers now. The work in progress which we should be able to see in the current financial year is the as I said the Hexadata unified backup appliance.

We are developing a software stack for data storage systems also. We are there developing a stack for high performance computing cluster management operation management and monitoring stack for which branding is almost done but we are yet to come out in public domain about the branding and packaging of this product. These software stacks and our own will not only give us USP and sales but also enhance our local content in the make in India programme where we can be more competitive as against our most other competitors.

On the cloud we have observed that to be competitive we need to upgrade our network infrastructure within the cloud services. We were having 40 gigs of connectivity per physical server till last year which we have refreshed with a 100 gigs access network and a 400 gigs backbone network on the cloud systems.

This helps us meet the new age workloads for customers and onboard new customers on our cloud system. Apart from that we have also invested in adding compute capacity and storage capacities on the cloud. There is a development under in progress which is again we are trying to develop our own indigenous cloud platform which will be our own intellectual property which helps us bring Indian innovations and maintain data sovereignty as well.

We are targeting although we are still a little far up far away for that, but we are targeting MEITY Empanelment so that we will be eligible to host government and public sector data on our cloud once that happens, and we are hiring strategic people specifically for the cloud which will help us expand our customer base (20:34) and digital native segments the new age born in the cloud customers.

So this is our new acquisition which we have completed actually within this financial year and as soon as the acquisition was completed we got the good news that Fluidech IT Services Private Limited became India's first and only accredited consulting organisation to the National Critical Infrastructure Information Protection Centre.

Which is a unit of NDRO directly being monitored by the NSA. So, what does this mean for Fluidech?

NCIIPC is an organisation which is mandated to secure the all the critical infrastructure of India be it public be it private whatever it's a large hospital be if it's a large healthcare facility, oil and gas sector, power sector, financial sector, banks everything all these things are considered as critical infrastructure and NCIIPC is the body which has developed its own framework - cyber security framework to protect these critical infrastructure. For this to implement this framework and to assess this framework, the requirements of the customer to implement this framework they are trying to onboard consulting organisations.

It's a very complex process to get through this accreditation lot of audits and checks are done for, the background checks are done for the organisation and only after that the accreditation is given to any partner organisation and as we are presenting this Fluidech IT Services Private Limited is the only one who's got this accreditation in India.

Others would be there in times to come but having said that Fluidech has an early mover advantage plus it also guarantees the capabilities of Fluidech. Recently Fluidech also closed a deal with an Indo-Japanese engineering consulting firm where they are doing some consulting engagement on cyber security.

Fluidech also started offering service packages for regulated entities which are regulated by SEBI for SEBI's Cybersecurity and Cyber Resilience Framework (CSCRF) compliance which is which I think in the next few weeks it will be mandated to start. This provides a large market opportunity for Fluidech. Workforce expansion definitely is in progress. Now Fluidic has access to increased funds and which helps Fluidic in expanding in the market. One more good news from Fluidech we have received is they have partnered with the U.S. listed EV technology firm for OT device security OSHA assessment. This also validates Fluidic global capabilities.

So, these are the some of the customer locals, some are somewhere existing. Some of them we have onboarded in the last year and new locals would be coming on these slides very soon. With this I end my presentation.

Thank you for your time and patience to hear me out.

Over to you Jigar Jani Ji.

Moderator:

Yes sir. Thank you very much for an insightful presentation.

We will now start the Q&A session. So, anyone who wants to ask a question please press the raise hand button and we will take the questions one by one. So, we'll just pause for one minute for everyone to press the raise hand button whoever has a question.

So, we'll start the question answer session with Agastya Dave. Agastya can you please unmute and ask your question. Okay so Agastya has dropped.

We have the first question from Ashok Kumar. Mr. Ashok Kumar can you please unmute and ask your question.

Mr. Ashok Kumar:

Can I? Am I audible now?

Thank you for your presentation, sir.

We can see that great developments are there in the company and we are hopeful of many more products and increased turnover and profitability in the future. Just to get some ideas I want some basic estimates with this kind of you know funding available and the growth prospects as you have enumerated. What kind of growth we can see in the next three years? A rough estimate which we can target you know.

Santosh Kumar Agrawal:

Ashok I am not talking of profitability sir.

Mr. Ashok Kumar:

I am not discussing profitability here either but at the same time yeah numbers would be very hard but the growth what you have seen this year we expect some similar growths for the current year also?

Santosh Kumar Agrawal:

So, what we saw in the last year. Going forward in the next two years instead of top lines we would be working more towards expansion of bottom lines because most of our baseline work would have been done till now. Last year we did a lot.

This year we'll continue to do the same but by next year we would be ready for our targets to on the bottom line itself. I mean I expect Zeacloud as well as Fluidech both engines will fire and they will be adding significant value to the profitability of the company next year apart from Esconet itself.

Mr. Ashok Kumar:

So, my next query is this Zeacloud which you have started in that has come from 3 crore to almost 5.2 crore in the you know past year. What kind of growth do we expect in this because it's a very profitable segment.

Santosh Kumar Agrawal:

So, in the current year I feel easily we should be seeing a growth of around 50 to 60 percent in terms of revenues.

Mr. Ashok Kumar:

And this cyber security sir because this was already there probably in the form of some other company which you have taken over isn't it?

Santosh Kumar Agrawal:

Yeah, that was an existing company where we have invested. We have taken over 70 percent.

Mr. Ashok Kumar:

What is the turnover of that company in the past year and how much we expect?

Santosh Kumar Agrawal:

So last year the turnover was approximately around two and a half crores. Apart from that they were doing some business under a different entity also which has been wound up. There's no second entity with them now every bit of the entire business has been transferred to Fluidech from this year. They should be able to clock easily approximately around 15 to 20 crores this year. That's what my estimate is.

Mr. Ashok Kumar:

Very good because that cyber security is a field probably a growing field and somewhat more profitable also.

Santosh Kumar Agrawal:

Yes of course, and that's the reason we took that strategy call of investment in that company.

Mr. Ashok Kumar:

Now another thing sir just to get an idea this is a Scalify and Cato.

Santosh Kumar Agrawal:

These are basically Let's say technical firms which are giving you new product or new facility available. But we also get some additional clients because of these collaborations. Yes, we do get, we do get to connect with their global customers who are present in India.

That is one, although it may be, it may not be very significant, but it definitely adds a new customer account to our portfolio. Having said that, these products are unique in themselves and once the customer understands the value proposition of these products, definitely the market opens up for us. And my last small question will be this, a lot of talk of, you know, these tariffs and all that.

Mr. Ashok Kumar:

Do we really get affected by these tariffs which get imposed?

Santosh Kumar Agrawal:

At the moment, we are not exporting any product from India, so we do not see any impact of the US tariffs as of now. In future, let's see, most of our business is happening, 90-95% of our business is still happening in India.

So, not much of that but yes, if export restrictions come into place, the way US has been playing around, there could be certain products which could come under a shortage. So, that risk is there.

Mr. Ashok Kumar:

Thank you so much, sir. I am done with the questions. Thank you.

Santosh Kumar Agrawal:

Thank you so much, Ashok.

Moderator:

Thank you. So, the next question we have is from Agastya Dawe. Agastya, I am unmuting. Please go ahead with your question.

Agastya Dawe:

Am I audible? Yeah. Yeah, there's always a bit of a lag when you allow us to speak or when I'm using the browser. So, that's why I couldn't speak in the time allocated. Not your mistake, sir. If anything, it's fine.

Santosh Ji, hello. How are you, sir?

Santosh Kumar Agrawal:

I'm good. How are you?

Agastya Dawe:

First class, sir. Sir, last time we had a conversation, you had mentioned that there were demand challenges during the election year and just to keep the shop running, so to speak, you had to dabble in certain contracts which otherwise you wouldn't have and they were all at a significantly lower margin. H2 saw certain improvement in margins across the board, but they were still lower than what your historic margins have been. And now, given what even the previous speaker was talking about, the way the mix is going to change over a period of time, margins are definitely, they should be improving.

So, how do you see the margin for the short term, the very short term? For the next year, do you see mean reversion to the previous margins in the base business? And how long do you see? So, you mentioned that the year after that you will see significant rises because of the new businesses that you have added. Can you quantify the magnitude there, sir? What are we looking at here?

Santosh Kumar Agrawal:

So, Agastya Ji, I would say that in the current year, margins will definitely improve. We are working towards that but may or may not be exceeding last year's margin. Now, when I say previous year, it's 23-24. Okay. But for next year, the plan what we have done, I am sure that we would be exceeding that, those margin percentages by far.

Agastya Dawe:

So, if I look at the gross margins, for FY25, you were at 15%. In the previous year, you were at 20%. So, basically, just to clarify, you are saying not as good as 20%, but definitely much better than 15%.

Santosh Kumar Agrawal:

Yeah, but that's what we are trying to do. But what happens, Agastya Ji, sometimes there are deals, typically, I would say, very large deals, which will come to you from a very strategic customer account. Those accounts, it is hard for us to say no, because otherwise they are giving you a significant amount of business year on year, and the margins are also decent.

But that one large deal actually sucks up the entire gross margin. So, if a customer today, tomorrow offers me a 100-crore deal with a margin, gross margin of just 1%, there is no value addition from my side in that deal. But 1% is also 1 crore rupees, which I would not want to refuse as such.

But overall, the revenue goes up, shoots up like anything, the growth seems to be rocketing, but the margins do not rock it up. Right. So, one clarification on this.

That is the only challenge what we faced last year. And this year also, I am seeing similar kind of deals happening, which is still in the pipeline. But I am trying to build up on margins in that deal also.

Let me see how successful we would be there.

Agastya Dawe:

Understood, sir. Sir, in this scalability tier, I could not understand one thing. So, are they basically infrastructure as a service? Nor are they a SaaS offering? Neither they are SaaS, nor they are infrastructure as a service.

Santosh Kumar Agrawal:

They are a software development company. They have developed their software product, and they sell that software under a subscription model. So, it is not a perpetual software, of course. It is a subscription where you buy it for say 5 years, 3 years or 10 years, whatever you decide in the beginning, you pay for that, and you can keep on using that software.

Agastya Dawe:

And though you said that the data will be backed up, so that will be backed up on your servers or on their servers? On our servers only. This is... Okay. So, they are just running an application... This is a product which will be sold to a customer and the customer can use it for backing his data to the server.

Santosh Kumar Agrawal:

Right. So, they are basically an API. They are a software company, simple software company, Pure software company. They manufacture their own hardware appliances also in France and US. But at the same time, they refrain to sell it in India because of two things. One is they do not have a support service network for hardware in India. Secondly, their cost for hardware appliances is very, very high.

Agastya Dawe:

Understood. So, final question, sir. With all these try-outs that you have done and the acquisitions that you have made, what's your time now? What is your total time and how much can you mine that and at what pace? Again, I am talking about a much longer-term picture here. And are there any other acquisitions that you are looking at?

Santosh Kumar Agrawal:

No. We are not considering any acquisition as of now until unless some surprise elements come into place. But we do not have any plans for any kind of acquisition as we speak. About the time what you asked, I have not done that math's till now. I will have to sit across and do that.

But I am sure with the Fluidtech acquisition, our time will increase significantly. One is we will be, not only we will be able to service our existing customers, which is quite significant in number and generate additional revenue from those same customer accounts, where the cost of sales is also very low for us because there is already a customer relationship in place. Apart from that, when I said NCIIPC, which means it opens up a gate for us to enter those accounts where we would have not even thought of till now. All the infrastructure which we are talking about, critical infrastructure are all large companies, whether they are public sector, whether they are private sector.

Agastya Dawe:

Great, sir. Thank you very much for answering my questions. One request, sir.

Kindly move to quarterly results. Six months is too large a gap, sir. I keep on asking this again and again, starting pretty much from the AGM onwards.

Sir, please do it. The more you interact with us, the better our understanding would be and it would be good for the company as well as the investors. So, kindly consider it.

Jigar ji, a question to you. This is a normal quarterly earnings call, right? So, the transcript will be posted on the exchanges?

Santosh Kumar Agrawal:

Yes, it will be.

Agastya Dawe:

Thank you. Thank you, Santoshi. All the best, sir. And thank you, Jigar ji, for hosting this.

Santosh Kumar Agrawal:

Thank you. Thank you, Agastya.

Moderator:

Thank you. The next question we will take is from Prasenjit.

Prasenjit:

Good evening, everyone. So, I am audible?

Santosh Kumar Agrawal:

Yes.

Prasenjit:

Thank you for the opportunity. So, my first question is, as we have now different business segment, new business segment, I would rather say, what kind of operating margin this new segment like cyber security or even Zeacloud that we are looking for?

Santosh Kumar Agrawal:

Zeacloud has been approximately around 20 to 25 percent operating margin. Correct me if I am wrong, Keshav.

Keshav Pareek:

Sir, it is 30, between 30 percent, 5 percent.

Santosh Kumar Agrawal:

30, 35 percent is what is right now. But it should sustain at approximately around 20 to 25 percent operating margin. Cyber, sorry, the Fluidic operating margin should also be similar, 25 to 30 percent operating margin.

Prasenjit:

I am eyeing easily on from that company as well. Okay. And going forward from our entire revenue, like how much revenue mixed up or how much revenue share you are expecting from this cyber security division, Zeacloud division and Hexadata division? Because as I know that right now, more than 90 percent is from Hexadata. So, going forward, one year or two years, what kind of breakup you are targeting?

Santosh Kumar Agrawal:

Sorry, I would want to correct you here. More than 90 percent from Hexadata is not correct. Hexadata revenue for us is still approximately around 35 percent. It is one third of our business. The rest of the revenue is still coming from various system integration activities for the last financial year and services system integration. And the component from Zeacloud revenue is only around 5 crores out of approximately around 233 crores consolidated revenue clocked last year.

This year, I am eyeing somewhere around 8 - 8.5 crores from Zeacloud, approximately around 15 - 20 crores from Fluidich. And the growth rate from Fluidich and Zeacloud, I am expecting, these are my expectations from them, should be approximately around 30 to 40 percent, at least bare minimum for the next upcoming three to four years' time.

Prasenjit:

And one last final question, like I have noticed that in the H2 your employee cost was around 3.12 crore. So we can say a rough monthly run rate of 52 lakhs, kind of. So just a rough figure.

So in this financial year, so already we are around three months. So what kind of employee cost run rate we can expect in this year? The employee cost will go up by around 30 to 40 percent this year. There will be new headcount coming in, and there has been some upward revenue in the existing salaries also.

Santosh Kumar Agrawal:

So, all put together, 30 percent approximately the total employee cost will go up. And for the next year, like FY27, will it, I mean, increase at similar pace, or then that will be just a yearly incremental? Next year, it may not increase at that rate. It will be slightly less. I cannot have that number as of now. But yes, next year, the hiring plans will be much slower for us.

Prasenjit:

Okay, Thank you. And that's all from my side.

Moderator:

Thank you, Prasenjit. Anybody else who wants to ask a question, please press the raise hand button. Yes, we have the next question from Nikhil.
Please go ahead, Nikhil.

Nikhil:

Hi, Santhosh ji. I hope you are doing good.

So, one question is around your acquisition of Fluidech. Can you help explain us how does the business work? Is it one time in nature, or is it recurring revenue with any client? The second question is, does both these businesses, which is Zeacloud and Fluidech help you cross sell more services to clients that you acquired in base business?

Santosh Kumar Agrawal:

So, we are lucky that we have Gaurav Gupta, the CEO of Fluidech with us. I request Gaurav to take this question.

Gaurav Gupta:

Yes. Thank you, Sir.

All right. So, I will answer the first question. So, Fluidech is a tech consulting and services company, where we essentially bring comprehensive set of services for the, for customers across enterprise and government sectors.

What we do is help them solve problems of identifying security portion, fixing them, and then maintaining security portion. In the backdrop of which, from a business standpoint, there are projects of one-time implementation, one-time assessment, which is consulting, one-time implementation of solutions. And then to maintain security portion is always important.

Usually, most of the time, these projects, these engagements would drive into managed security services. So, there is a larger recurring revenue that gets bound over here. And these engagements, since they are very tech intense and they are sensitive in nature, generally have a good stickiness with the customer, the attention is low.

The services are very good there. On your second part, since they are very good and okay, I will also add to that since you will be happy. With NCIIPC unique credential coming to us, it actually opens door to a larger environment picture where there were a lot of entry barriers other than Big Four.

So, we are right now in a position where two out of the Big Four, we are sure that would be able to qualify to this credential by end of this year. So, we have a very strong unique standing position. Since the sales cycles of government contracts, especially in something which is just coming as a national standard.

So, the sales cycles are longer. Discussions are happening everywhere with nearly every state government on protecting their cyber security portion, which means essentially by the end of a particular period of time, maybe 10 to 14 months, we will have empty contracts with civil state governments. So, they will shoot up in a very steep growth curve that is anticipated unless a force majeure comes to play.

I hope you understood. Now, second part, where there are existing customer relationships in the small, medium and large enterprise segments of industries at Esquimalt, we are very easily able to leverage them because compared to Fluidics, Esquimalt has been a larger, say, strong organisation. We have been more tech-focused, therefore, that strategic acquisition by Esquimalt.

So, we will be able to leverage those relationships, make a stronger value proposition and help them secure the workload that they have been posting with Esquimalt or otherwise. And with security services, that relationship grows more in value, if that answers your question. Yeah, yeah.

Nikhil:

Thank you so much for that.

One follow-up on Fluidech is, what is the working capital cycle usually for this business?

Gaurav Gupta:

Working capital cycle, typically when we bring in new source of funds, it helps us last, last more beyond the driving which we have to, which we use to build workforce. Like for example, right now there is a new stream of business which is NCIIPC.

There is not enough talent in the country. We are grooming talent, we are building, we have partnered with government bodies to write the BTEC course also for them. So, to answer your question, in these turbulent times, the working capital cycle might go up to anything between 8 to 14 months.

But otherwise, generally, we are targeted because in 6 months we are able to generate returns on investment.

Nikhil:

Let me put that question in a different way, Gaurav. Basically, what I meant is, when you start billing, how long does it take for your clients to pay you in days or months?

Gaurav Gupta:

Typically, that will be 30 to 45 days' time cycle, usually.

Nikhil:

Okay and Santosh ji, if Zeacloud today is doing let us say 30 to 35 percent EBITDA margin, why do you expect it to come down to 20, 25 percent? And usually what kind of capital, when let us say you deploy 10 crores in Zeacloud, so what kind of revenues can that make? So, there is no fixed formula for you to determine that if you put 10 crores, that will make 5 crores every year. Certain cases, it will be like if you put 10 crores, it will just make 2 crores per year.

Santosh Kumar Agrawal:

But in that case, the remaining usable life of that equipment would be very high. But in certain cases where the remaining usable life of that equipment is very, very short, your revenues would be high. That's the way it works.

Coming down to your first question was, why do you think that it is going to drop? So, sorry, there was a gap in between. We have been leveraging till now many sales persons from SQuared. Now, cloud sales is a different art altogether as compared to standard infrastructure, traditional infrastructure sales.

People who have been selling cloud and cloud, so OPEX model, AR models, they understand that terminology. The traditional infrastructure seller is not interested in cloud sales because for him the same deal size become much smaller because for him selling a hardware box worth 1 crore and getting a monthly revenue of 10 lakh rupees out of it, which one is better from business standpoint, getting a monthly revenue of 10 lakhs is better. But the sales person does not understand this, or the sales person has a mindset of achieving his numbers.

For that, he would try to quickly sell that box one time to the customer at a price of 1 crore. So, that is the kind of resistance what we are seeing. So, we are trying to hire dedicated sales people for the cloud.

Apart from that, there are other product developments happening. There will be additional cost towards those development. There would be product managers in Zeacloud who can directly connect with customers and try to cross sell those products from Zeacloud itself and they will be specialized people.

So, cost of manpower goes up. The infrastructure spend will increase, is already increasing. Last year, we did a significant spend and this year also it will keep on happening.

We have expanded the capacity to almost like 3x. Now, depreciation cost will go up. I am trying to understand what I am trying to say.

Nikhil:

So, what I understand by what you are saying, this is going to be a temporary dip and then it comes back up once utilisation has improved.

Santosh Kumar Agrawal:

Yes. But beyond a certain point also, once you grow very large, you tend to go after the bigger deals.

There, the margins may not be so high. Either you still remain in that small customer segment, billing a 1000 rupees per month or 5000 rupees per month to every customer and be happy. But to grow beyond a certain level, you have to get two customers who can pay you 20 lakh rupees or 50 lakh rupees a month.

There, the margins may not be that high. That is the reason. On an average, the margins will, the gross margin itself will shrink up a little.

Nikhil:

Got it. So, I mean it is more related to how you want to scale the business and to achieve higher scales, you would want to make your rates more competitive in the market. Correct.

One last question is on, you mentioned something about your cloud platform. So far, Zeacloud was linked to data recovery as a service, sort of a business.

Santosh Kumar Agrawal:

No, not data recovery. It was a cloud platform, but we were relying on third-party hypervisors and cloud platforms till now. So, the software stack was bought from somewhere else. There was a cost to it.

And once we have our own, our input cost actually reduces. There will definitely be a one-time cost and there will be maintenance cost to that also. But that may be significantly lesser as compared to what we might be incurring today.

Nikhil:

Okay. This is a full-fledged cloud offering, actually. When you say full-fledged, if you are comparing me with a GCP or Azure or AWS.

Santosh Kumar Agrawal:

I might not be having certain services, but there will be other services which Zeacloud will have and these services may not be able to offer them.

The kind of customization and flexibility what we can offer to the customer, no hyperscaler in this world can give. Apart from that, there could be certain unique features, again, on our cloud which they will not be able to give. What they are giving is a large CDN, content delivery network, which is their own captive CDN.

For us, we have to rely on third-party CDNs because CDN itself, creating a CDN is a multi-million-dollar investment.

Nikhil:

Got it. Sorry, just adding one more question. Today, extra data is at around 35% of the base business. Where do you see that over the next few years?

Santosh Kumar Agrawal:

Next few years, I see that as a bigger business than the rest of it. That's simple.

Nikhil:

Perfect. Thank you so much. Thank you. And all the best.

Moderator:

Thank you, Nikhil. So, anyone who wants to ask a question, they can press the raise hand button. So, I believe there are no more questions. So, thank you very much, Santoshi, for taking the time out and allowing us the opportunity to post your call. I think there is one follow-up from Prasenjit.

We'll just take that. Just one minute. Yeah, Prasenjit, go ahead.

Prasenjit:

Yeah. Thank you for the opportunity. So, sir, as we are discussing about the margin, so can you give me an idea like what kind of margin this legacy system integration business brings and what kind of margin this extra data brings?

Santosh Kumar Agrawal:

Legacy system integration will give you on an average around 7% to 8% margin, whereas extra data typically should give you, and this is gross I'm talking about, extra data should be able to give us approximately around 10% to 15% margin as of now.

Going forward, when we talk about value additions and extra data, creating product appliances, that enhances our margin. Okay. Okay.

Moderator:

Thank you, Prasenjit. Anyone else wants to ask a question? Okay. So, I believe everybody has asked their questions.

So, again, thank you very much, sir, for taking the time out and the entire management team of Esconet as well as Fluidech and Zeacloud for taking out the time and giving us the opportunity to host the call. Thank you and best of luck, sir, for your future.

Santosh Kumar Agrawal:

Thank you, Jigar sir.

Moderator:

Thank you, investors and shareholders for listening, hearing us out and for your time. Thank you. Thank you, everyone, for joining the call.

We'll now end the call.

Thank you, sir. Ladies and gentlemen, on behalf of Nuvama Professional Clients Group, that concludes this conference. You may now disconnect your lines.